

US Equity Strategy

Broadening Trade Nuance: Equal Weight Vs SMID



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CITI'S TAKE

The broadening trade discussion remains topical with investors. In this note, we provide a quick side-by-side comparison of S&P 500 Equal Weight vs SMID. Generally, SMID provides more economic sensitivity whereas EW tends to have more defensive characteristics. In turn, where the motivation is to diversify from market cap weighted S&P 500 Tech/Growth exposure, EW fits. On the other hand, SMID/Small Cap makes sense where the objective is to gain exposure to an early cycle/soft landing playbook.

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